

BANKING

2019

Time: 2:40 Hours (Regular & Private) Max. Marks:59

SECTION 'B' (SHORT-ANSWER QUESTIONS)(35)

Note: Attempt 7 questions from this section.

- (i) Define Endorsement. Describe General and Special endorsement.
- (ii) When does a bank dishonor a cheque? Describe any three conditions.
- (iii) Enlist the principles of using Bank funds. Explain any one.
- (iv) Describe Foreign exchange and Rate of exchange.
- (v) Differentiate between Debit card and credit card.
- (vi) Define Letter of credit. Enlist its various kinds.
- (vii) Define Cheque. Describe its parties.
- (viii) Define Central bank. Describe the Central bank's function of the 'issuance of currency notes'.
- (ix) Describe current account and Fixed deposit account.
- (x) Define online Banking. Write its importance.

SECTION C (DETAILED-ANSWER QUESTION)(24)

Note: Attempt Two questions from this section

3. Define Commercial bank. Describe the functions of Commercial bank.
4. Define Credit control. Describe its various methods.
5. Define Bank funds. Write their profitable and non-profitable uses.

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Time: 20 Minutes (Regular & Private) Marks: 16

SECTION "A" (MULTIPLE CHOICE QUESTIONS)

1. Choose the correct answer for each from the given options:

- (i) Open market operation is a method of: • credit control
• issuing note • exchange rate • balance of trade
- (ii) State Bank of Pakistan was established on:
• 1st Jan. 1948 • 1st July 1948
• 14th Aug. 1947 • 25th Dec. 1947
- (iii) Schedule banks are registered with: • Habib Bank
• State Bank • National Bank • Commercial Bank
- (iv) Pay order is a: • Banker's cheque
• Order cheque • Cashier's cheque • Bearer cheque
- (v) Importer's Bank issues the: • Bill of exchange
• Cheque • Credit card • Letter of Credit
- (vi) The credit instruments which are transferable from one person to another are: • Semi negotiable instruments
• Negotiable instruments • Non-negotiable instrument
• Conditional Negotiable Instruments
- (vii) Central Bank is the lender of last resort to: • Public
• its employees • State Bank • Commercial Bank
- (viii) Always payable on demand is:
• Rent Payable • Note Payable • Cheque • Bill payable
- (ix) This bank deals in receiving deposits & advancing loans
• Central Bank • Mortgage Bank
• Commercial Bank • Exchange Bank
- (x) State Bank of Pakistan is a: • Chartered Bank
• Statutory Bank • Cooperative Bank • Public Bank
- (xi) Bank rate determination is the function of:
• The Provincial governments • The Central bank
• The Federal government • Commercial bank
- (xii) This is used for foreign payment: • Postal order
• Bill of exchange • Bank draft • Money order
- (xiii) Bank does not pay interest on this account:
• Current • Saving • Profit & loss • Fixed
- (xiv) Letter of credit is a/an:
• Request • Order • Promise • Demand
- (xv) The number of parties involved in a cheque is:
• Two • Three • Four • six
- (xvi) The first central bank of the world is: • Bank of America
• Bank of England • Bank of Scotland • Bank of Venice

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2017

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SECTION 'B' (SHORT-ANSWER QUESTIONS)(35)

Note: Attempt 7 questions from this section.

- 2.(i) Enlist the different types of Bank accounts. Describe Current account.
- (ii) Describe the function of Lender of last resort performed by the Central Bank.
- (iii) State any five conditions under which a bank can dishonor a cheque.
- (iv) Enlist the principles of employing Bank funds. Describe the principle of Profitability.
- (v) Describe any five essentials of Bill of exchange.
- (vi) Enlist the various kinds of Letter of credit. Describe any one.
- (vii) Define Endorsement. Explain Conditional endorsement.
- (viii) Enlist the kinds of Banks on the basis of functions. Describe statutory and private bank.
- (ix) Give any three differences between Cheque and promissory note.
- (x) Describe Special crossing of a cheque.

SECTION C (DETAILED-ANSWER QUESTION)(24)

Note: Attempt Two questions from this section

3. Describe Purchasing Power Parity Theory. Describe its assumptions and also limitations.
4. Define Credit control. Describe various methods adopted by the Central bank for Credit control.
5. Describe the functions of Commercial bank,

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SECTION "A" (MULTIPLE CHOICE QUESTIONS)

1. Choose the correct answer for each from the given options:

- (i) The purchasing power parity theory was presented by:
• Ricardo • Robbins • Gustav Castle • Alfred Marshal
- (ii) The party on which the cheque is drawn is the:
• Endorsee • Payee • Drawer • Drawee
- (iii) This is not a quantitative method in credit control:
• Reserve Ratio • Open Market operation
• Rationing of Credit • Legislation
- (iv) This is a Non-negotiable credit instrument:
• promissory Note • Letter of Credit
• Cheque • Bill of Exchange
- (v) Creation of credit money is a function of the:
• Central Bank • Commercial Bank
• Exchange Bank • Industrial Bank
- (vi) A notice must be served in case of dishonouring of:
• Cheque • Cross cheque
• Promissory Note • Bill of Exchange
- (vii) Crossing of a cheque can be cancelled by the:
• Drawer • Payee • Endorse • Drawee
- (viii) This is not included in credit instruments:
• Cheque • Bill of exchange
• Promissory Note • Prize Bond
- (ix) Overdraft facility is provided in this account only:
• Current • Saving • Fixed deposit • Profit & Loss
- (x) When the endorsee only signs on the back of the instrument, this is known as:
• Blank endorsement • Special endorsement
• Restricted endorsement • Conditional endorsement
- (xi) Monopoly of currency note issuance is a characteristic of the:
• Federal Government • Commercial Bank
• Central Bank • Provincial Government
- (xii) The lender of the last resort for commercial bank is the:
• World Bank • Central Bank
• Industrial Bank • Mortgage Bank
- (xiii) Banks registered with the central bank are known as:
• Commercial Banks • Scheduled Banks
• Limited Banks • None-scheduled Banks
- (xiv) The number of parties of a cheque is:
• Two • Three • Four • Six
- (xv) This term is used as a measure of credit control:
• Bank rate • Rate of Exchange
• Wage rate • Market rate
- (xvi) With respect to functions, this cannot be defined as a bank:
• Central Bank • Commercial Bank
• Exchange Bank • Statuary Bank